

probabilities are lower, but not entirely comforting, especially for women.

Finally, if you are lucky or smart enough to have your capital earn 8% each year—you'll notice it works out to \$16,000 each year—you will never run out of money.

Another way to think of this is that a \$200,000 mortgage, amortized at 8%, with annual payments of \$15,000, will never be paid off. You will barely manage to pay the interest, let alone pay down the principal.

So what are the odds of running out of money when your capital earns 8% every year? Well, I hope you see that they are zero for both men and women. In fact, even if you earned slightly less—7.75% each year—you would run out of money in about 46 years. And the odds of being alive then are virtually zero for both genders.

No great secrets here: The less you earn, the sooner your money will run out, assuming that you'll need \$16,000 in real terms each year.

Incidentally, all of these calculations can be easily performed with the aid of a calculator or spreadsheet, and then you can examine the odds from a mortality table. This calculation is essentially a mortgage amortization schedule that tells you when the money will run out, as opposed to when the mortgage will be paid off.

Table 8.1 returns to a familiar figure and puts a different spin on mortality statistics by looking at when your money will run out, and then stating the probability of living to that age.

What does this chart reveal? Well, for one thing, as we just saw, it tells us that if (at age 65) your financial plan is only valid for 20 years (age 85), there's a 55.8% chance for women (45.5% for men) that you'll still be alive when you run out of money. This is the probability of outliving wealth. It is the probability of still being alive when there is no more money in the account.

Now, at some point, of course, you would realize that you are about to run out of money and would consequently lower your annual consumption. In fact, as you might have been thinking, social support payments would have kicked in long before disaster struck. Or your children might lend financial support. Nobody, in other words, really faces the prospect of starvation.